

Astera Labs (ALAB)

\$112.47 (Stock Price as of 03/27/2026)

Price Target (6-12 Months): **\$131.00**

Long Term: 6-12 Months | **Zacks Recommendation:** **Neutral**
(Since: 10/06/25)
Prior Recommendation: Outperform

Short Term: 1-3 Months | **Zacks Rank:** (1-5) **3-Hold**
Zacks Style Scores: VGM: C
Value: F | Growth: A | Momentum: C

Summary

Astera Labs benefits from strong demand for Aries, Taurus, and Scorpio product families, driven by increased demand for AI and cloud infrastructure solutions. It is gaining traction with new hyperscaler customers and has expanded its global engineering operations, including a design center in Israel. ALAB highlighted robust secular trends in AI and cloud infrastructure, with major hyperscalers like Google and AWS projecting \$400 billion in CapEx spending for 2026. It expects growth opportunities in the AI connectivity space, estimating its served addressable market to expand 10 times to \$25 billion by 2030. However, ALAB is suffering from a shift towards a higher mix of hardware sales, which has impacted its profit margins. Increased operating expenses from expanded R&D efforts and recent acquisitions also impacted performance.

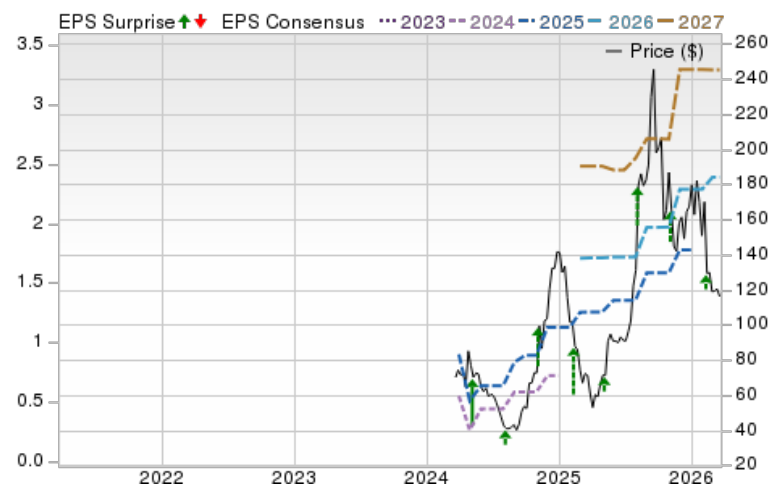
Data Overview

52 Week High-Low	\$262.90 - \$47.13
20 Day Average Volume (sh)	4,727,005
Market Cap	\$19.3 B
YTD Price Change	-32.4%
Beta	1.74
Dividend / Div Yld	\$0.00 / 0.0%
Industry	Internet - Software
Zacks Industry Rank	Bottom 38% (152 out of 244)

Last EPS Surprise	13.7%
Last Sales Surprise	8.3%
EPS F1 Est- 4 week change	0.0%
Expected Report Date	05/05/2026
Earnings ESP	0.0%

P/E TTM	61.1
P/E F1	47.1
PEG F1	1.4
P/S TTM	22.6

Price, Consensus & Surprise⁽¹⁾



Sales and EPS Growth Rates (Y/Y %)⁽¹⁾



Sales Estimates (millions of \$)⁽¹⁾

	Q1	Q2	Q3	Q4	Annual*
2027	415 E	444 E	474 E	501 E	1,807 E
2026	293 E	310 E	340 E	383 E	1,326 E
2025	159 A	192 A	231 A	271 A	853 A

EPS Estimates⁽¹⁾

	Q1	Q2	Q3	Q4	Annual*
2027	0.75 E	0.81 E	0.87 E	0.91 E	3.29 E
2026	0.54 E	0.55 E	0.61 E	0.69 E	2.39 E
2025	0.33 A	0.44 A	0.49 A	0.58 A	1.84 A

*Quarterly figures may not add up to annual.

(1) The data in the charts and tables, including the Zacks Consensus EPS and sales estimates, is as of 03/27/2026.

(2) The report's text and the price target are as of 03/12/2026.

Overview

Astera Labs develops semiconductor-based connectivity solutions tailored for cloud and AI infrastructure. Its Intelligent Connectivity Platform includes high-speed, mixed-signal semiconductor products combined with COSMOS, a proprietary system management and optimization software suite. The company's solutions are designed to enhance performance, bandwidth, and reliability in next-generation data centers.

Astera Labs went public on March 22, 2024, and reported \$852.5 million in revenues for 2025. The company's products come in multiple form factors, including integrated circuits (ICs), boards, and modules, and are built on industry-standard protocols such as PCI Express (PCIe), Ethernet, and Compute Express Link (CXL). Key offerings include:

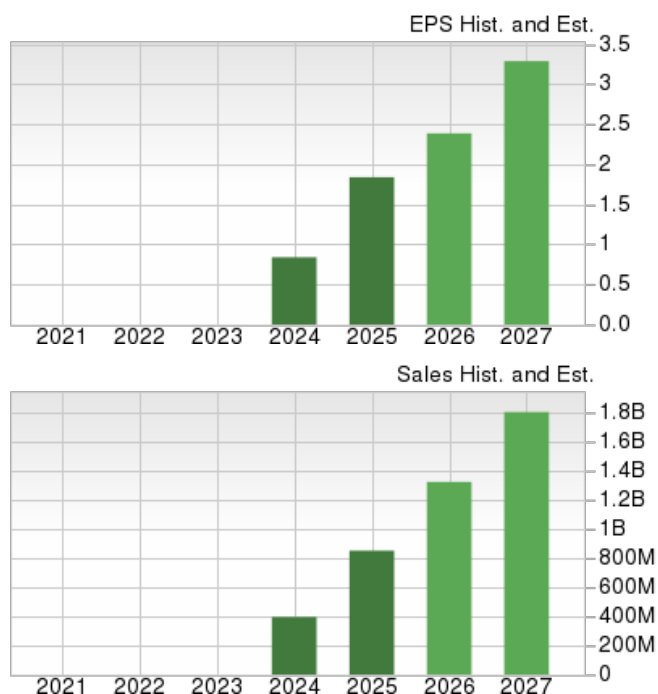
Aries PCIe/CXL Smart DSP Retimers and Smart Cable Modules: Enable high-bandwidth, low-latency data transfer between heterogeneous processors by restoring signal integrity and extending interconnect reach. COSMOS software is integrated for real-time management and diagnostics.

Taurus Ethernet Smart Cable Modules: Based on Taurus ICs, these modules boost Ethernet bandwidth over copper links between servers and switches. COSMOS software helps alleviate rack-level bottlenecks.

Leo CXL Memory Connectivity Controllers (ICs and boards): Facilitate memory expansion, sharing, and pooling across CPUs and AI accelerators over high-speed serial links for demanding workloads.

Scorpio Smart Fabric Switches: Designed for hyperscalers, these switches support rapid AI platform deployment. The Scorpio P-Series targets PCIe Gen 6.0 environments, while the X-Series focuses on backend GPU clustering and offers platform-level customization.

Astera Labs' customers include top hyperscalers, AI accelerator vendors (including GPU makers), and system OEMs. Key competitors include Broadcom, Marvell, Credo Technology, Microchip, Montage Technology, Parade Technologies, and Rambus.



As of 03/27/2026



As of 03/27/2026

Reasons To Buy:

- ▲ The growing speed requirements and system complexities of AI and cloud infrastructure bode well for Astera Labs. Increasing accelerator cluster sizes, faster interconnect requirements, and overall system complexity challenges are driving demand for ALAB's solutions. The company has emerged as a key player in next-generation data center connectivity, with a full-stack portfolio spanning PCIe 6.0, Ultra Accelerator (UA) Link, and CXL 3.0. An innovative portfolio supported by strong demand from hyperscalers is expected to drive top-line growth over the long term.
- ▲ Astera Labs is benefiting from strong demand for Aries and Taurus product families. Aries products are essential to enable higher PCIe/CXL data bandwidth and lower latency interconnectivity between various heterogeneous compute processors, including storage and network controllers. Aries Smart Cable Modules support a variety of applications, including straight cables and breakout cables. Taurus products help in removing rack-level Ethernet connectivity bottlenecks. The addition of PCIe 6 over Optics Technology is noteworthy. Diversification across both GPU and custom ASIC-based systems for a variety of applications, including scale-up and scale-out connectivity, is a key catalyst for ALAB's Aries product family. Continued deployment of AI and general-purpose systems at leading hyperscaler customers is benefiting the Taurus system.
- ▲ Astera Labs plans to provide a broad portfolio of connectivity solutions for the entire AI rack through purpose-built silicon hardware and software to support computing platforms based on both custom ASICs and merchant GPUs, which is a key catalyst. Growing interest in Scorpio X-Series solutions for scale-up connectivity, which is designed to maximize AI accelerator utilization with consistent performance and reliability, is noteworthy. The company plans to increase its research and development (R&D) investments to continue innovation. In 2025, R&D jumped 51.4% over 2024, and in the fourth quarter of 2025, R&D jumped 65.9% year over year to \$93.8 million. Operating expense is expected to be between \$112 million and \$118 million in the first quarter of 2026, driven by higher R&D expenses.
- ▲ UA Link offers a significant growth opportunity for Astera Labs. UA Link combines the memory semantics of PCIe and the fast speed of Ethernet, but is devoid of the software complexity and performance limitations of Ethernet. ALAB expects to deliver UA Link solutions in 2026 to solve scale-up connectivity challenges for next-generation AI infrastructure. The growing proliferation of UA Link is expected to be a multibillion-dollar additional market opportunity for Astera Labs by 2029.
- ▲ Astera Labs is benefiting from a rich partner base. ALAB is advancing next-gen data center infrastructure with the introduction of a PCIe 6-ready reference design based on NVIDIA Blackwell-based MGX platform that leverages Scorpio Smart Fabric Switches for AI and cloud infrastructure. Astera Labs has showcased the first end-to-end PCIe 6 interoperability with NVIDIA's Blackwell GPU and Micron's NVMe SSD, with both Aries 6 PCIe Smart Retimer and Scorpio-P PCIe SmartFabric Switch. Collaboration with ecosystem leaders like Wistron expands Astera Lab's reach into OEM and modular platforms. The partnership with Alchip combines its custom ASIC development capabilities with ALAB's comprehensive connectivity portfolio. This is expected to boost Astera Labs' footprint in delivering next-gen AI connectivity solutions.
- ▲ Astera Labs completed its initial public offering on March 22, 2024, and received net proceeds of \$672.2 million. The company has strong liquidity with a cash balance of \$1.18 billion as of Dec. 31, 2025, and no debt.

Astera Labs benefits from an innovative portfolio, strong demand for Aries and Taurus product families and an expanding partner base.

Reasons To Sell:

- ▼ Macroeconomic challenges, including higher tariffs and uncertainty over trade policy, are a headwind for semiconductor companies, including Astera Labs. These, along with changing export restrictions, are expected to negatively impact demand across the AI and cloud infrastructure markets.
- ▼ Astera Labs operates in a highly competitive market. The company is facing significant competition from the likes of AMD, Credo Technology, Broadcom and Intel in the connectivity space. Broadcom's launch of PCIe Gen 6 portfolio, featuring high-port switches and retimers tested for interoperability with partners like Micron and Teledyne LeCroy, is a noteworthy development. Credo Technology has a healthy pipeline of PCIe Gen6 AECs and retimers, with further customer wins expected to support fiscal 2026 growth.
- ▼ We are concerned about concentration risks as a significant portion of Astera Labs' revenues comes from a handful of customers. In 2025, the top three customers accounted for roughly 86% of revenues. Loss of any of these customers or lower sales to any of them would negatively impact prospects.
- ▼ ALAB experienced a substantial increase in operating expenses, which is a headwind. For 2025, ALAB reported a total operating expense of \$471.8 million, marking a 12.7% increase from \$418.7 million in the same period of 2024. Research & development expenses increased 51.4% year over year to \$303.9 million. These rising costs may pressure margins and impact future profitability.

Macroeconomic challenges, including uncertainty over tariffs, intensifying competition and customer concentration risks, are headwinds.

Last Earnings Report

Astera Labs Q4 Earnings Beat Estimates, Revenues Rise Y/Y

Astera Labs reported fourth-quarter 2025 non-GAAP earnings of 58 cents per share, surpassing the Zacks Consensus Estimate by 12.75%. The company reported earnings of 37 cents per share in the year-ago quarter.

Net revenues surged 91.8% year over year to \$270.6 million, surpassing the Zacks Consensus Estimate by 8.33%. Growth was driven by new AI platform ramps featuring multiple product families.

FY Quarter Ending	12/31/2025
Earnings Reporting Date	Feb 10, 2026
Sales Surprise	8.33%
EPS Surprise	13.73%
Quarterly EPS	0.58
Annual EPS (TTM)	1.84

ALAB’s Operating Details

The non-GAAP gross margin was 75.7%, contracting 160 basis points year over year. Research and development expenses surged 65.9% year over year to \$93.8 million.

Sales and marketing expenses decreased 11.9% year over year to \$20.1 million. General and administrative expenses increased 6.8% year over year to \$23.6 million.

The non-GAAP operating margin was 40.2% compared with 34.3% in the year-ago quarter.

ALAB’s Balance Sheet Details

As of Dec. 31, 2025, cash and cash equivalents and marketable securities were \$1.18 billion compared with \$1.13 billion as of Sept. 30, 2025.

ALAB’s Q1 Guidance

Astera Labs expects first-quarter 2026 revenues between \$286 million and \$297 million.

Non-GAAP gross margin is expected to be roughly 74%. Non-GAAP operating expenses are expected to be between \$112 million and \$118 million.

Earnings are expected to be between 53 cents and 54 cents per share for the first quarter.

Recent News

On Mar 4, Astera Labs announced it is expanding its global engineering operations by opening a new advanced R&D design center in Israel, led by semiconductor veteran Guy Azrad, to accelerate the development of next-generation AI connectivity fabrics and address data, network, and memory bottlenecks in AI infrastructure.

On Jan 22, Astera Labs is expanding its Scorpio X-Series roadmap with higher radix options, hyperscaler-specific protocols, in-network computing, Hypercast AI data distribution, and optical connectivity to target a merchant AI switching market projected to reach \$20B by 2030.

On Dec. 2, Astera Labs announced plans to deliver custom connectivity solutions leveraging its COSMOS architecture and new photonic chiplet capabilities to support hyperscalers building NVLink-enabled, heterogeneous AI infrastructure.

On Nov. 18, Astera Labs announced that its Leo CXL Smart Memory Controllers are enabling customers to test CXL-based memory expansion on Azure M-series VMs, the industry's first deployment of CXL-attached memory to help overcome the memory wall for large-scale, memory-intensive AI and data workloads.

On Oct. 22, Astera Labs announced a definitive agreement to acquire aiXscale Photonics GmbH to advance photonic scale-up connectivity solutions for next-generation AI infrastructure.

On July 18, Astera Labs announced the opening of its new corporate headquarters in San Jose, California. The facility is designed to support up to 900 employees and includes advanced R&D labs, collaborative workspaces, and an executive briefing center to support the company's ongoing expansion.

On June 16, Astera Labs and Alchip announced a partnership under which the latter's custom ASIC development capabilities will be combined with the former's comprehensive connectivity portfolio. The combination will enable the delivery of interoperable solutions for hyperscalers building next-generation AI infrastructure. The partnership aims to solve the requirement of rack-level solutions, which integrate custom compute accelerators with high-performance connectivity fabrics, delivered within compressed development windows for moderate AI deployments.

On May 19, Astera Labs announced a collaboration with NVIDIA to provide scale-up connectivity solutions for the new NVIDIA NVLink Fusion ecosystem.

On May 1, Astera Labs announced that its PCIe 6 connectivity portfolio is ramping production to fast-track the deployment of modern AI platforms at scale. The offerings include new Aries 6 PCIe Smart Gearbox, Scorpio P-Series Smart Fabric Switches, Aries 6 PCIe/CXL Smart DSP Retimers, Aries 6 PCIe/CXL Smart Cable Modules (Aries 6 SCMs) and PCIe 6 over Optics Technology.

Valuation

Astera Labs shares are up 47.4% in the past six-month period and 86.1% over the trailing 12-month period. Stocks in the Zacks sub-industry are down 22.1% while those in the Zacks Computer & Technology sector are up 2.3% in the past six-month period. In the past year, stocks in the Zacks sub-industry have been down 0.2% while the sector is up 38.2%.

The S&P 500 is up 3.3% in the past six-month period and 26% in the past year.

The stock is currently trading at 14.95X forward 12-month earnings compared with 3.98X for the Zacks sub-industry, 6.21X for the Zacks sector, and 5.04X for the S&P 500 index.

Over the past year, the stock has traded as high as 44.95X and as low as 11.81X, with a 1-year median of 21.92X. Our Neutral recommendation indicates that the stock will perform in line with the market. Our \$131 price target reflects 15.70X forward 12-month earnings.

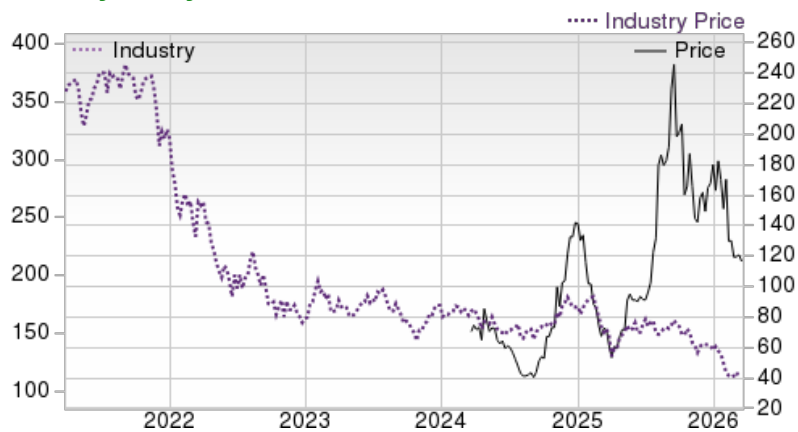
The table below shows summary valuation data for ALAB.

Valuation Multiples - ALAB					
		Stock	Sub-Industry	Sector	S&P 500
P/S F12M	Current	14.95	3.98	6.21	5.04
	1-Year High	44.95	6.04	7.25	5.63
	1-Year Low	11.81	3.91	5.58	4.8
	1-Year Median	21.92	5.08	6.64	5.26
P/B TTM	Current	15.45	4.41	9.3	7.95
	1-Year High	36.58	6.88	11.46	8.8
	1-Year Low	8.38	4.15	7.43	6.67
	1-Year Median	18.68	5.99	9.94	8.17
EV/Sales TTM	Current	23.31	4.73	7.45	5.51
	1-Year High	66.84	7.05	8.42	5.83
	1-Year Low	15.92	4.7	5.41	4.27
	1-Year Median	31.08	6.26	7.47	5.52

As of 3/11/2026

Source: Zacks Investment Research

Industry Analysis⁽¹⁾ Zacks Industry Rank: Bottom 38% (152 out of 244)



Top Peers⁽¹⁾

Company (Ticker)	Rec	Rank
CI&T Inc. (CINT)	Neutral	3
Cellebrite DI Ltd. (CLBT)	Neutral	3
JFrog Ltd. (FROG)	Neutral	3
Intapp, Inc. (INTA)	Neutral	3
Porch Group, Inc. (PRCH)	Neutral	3
Reddit Inc. (RDDT)	Neutral	3
Rimini Street, Inc. (RMNI)	Neutral	3
SEMrush Holdings, In...(SEMR)	Neutral	3

Industry Comparison⁽¹⁾ Industry: Internet - Software

	ALAB	X Industry	S&P 500	CLBT	FROG	SEMR
Zacks Recommendation (Long Term)	Neutral	-	-	Neutral	Neutral	Neutral
Zacks Rank (Short Term)	3	-	-	3	3	3
VGM Score	B	-	-	B	D	
Market Cap	19.26 B	642.23 M	38.90 B	3.23 B	5.18 B	1.80 B
# of Analysts	9	3	22	3	9	3
Dividend Yield	0.00%	0.00%	1.52%	0.00%	0.00%	0.00%
Value Score	F	-	-	D	F	
Cash/Price	0.06	0.17	0.04	0.12	0.14	0.15
EV/EBITDA	83.26	7.28	13.42	27.88	-95.77	93.90
PEG Ratio	1.40	1.02	1.76	1.47	3.32	NA
Price/Book (P/B)	13.93	2.60	3.29	6.40	5.78	6.18
Price/Cash Flow (P/CF)	93.36	17.18	13.72	32.05	NA	104.68
P/E (F1)	47.06	18.36	17.87	22.59	47.97	29.10
Price/Sales (P/S)	22.59	2.75	3.01	6.79	9.75	4.06
Earnings Yield	2.13%	4.68%	5.59%	4.40%	2.08%	3.44%
Debt/Equity	0.00	0.00	0.56	0.00	0.00	0.00
Cash Flow (\$/share)	1.20	0.22	9.62	0.40	-0.23	0.11
Growth Score	A	-	-	A	A	NA
Hist. EPS Growth (3-5 yrs)	NA%	15.26%	7.51%	78.66%	NA	NA
Proj. EPS Growth (F1/F0)	29.89%	24.58%	9.87%	11.76%	9.76%	41.38%
Curr. Cash Flow Growth	-308.46%	-1.09%	7.92%	28.66%	-16.88%	-37.49%
Hist. Cash Flow Growth (3-5 yrs)	NA%	17.51%	8.87%	52.69%	NA	83.82%
Current Ratio	10.24	1.60	1.19	1.56	2.14	2.11
Debt/Capital	0.00%	2.06%	38.05%	0.00%	0.00%	0.00%
Net Margin	25.70%	-0.16%	12.73%	16.47%	-13.50%	-4.27%
Return on Equity	16.12%	2.89%	17.16%	20.43%	-5.74%	-3.19%
Sales/Assets	0.64	0.59	0.53	0.58	0.43	1.02
Proj. Sales Growth (F1/F0)	55.50%	10.47%	5.59%	19.50%	17.90%	14.40%
Momentum Score	A	-	-	C	F	
Daily Price Chg	-1.00%	-3.12%	-1.67%	-6.09%	-7.62%	0.00%
1 Week Price Chg	-3.55%	-1.40%	-3.60%	-1.18%	2.92%	0.08%
4 Week Price Chg	-9.79%	-8.74%	-7.82%	-5.89%	4.27%	1.02%
12 Week Price Chg	-32.39%	-24.05%	-6.96%	-28.17%	-30.62%	0.34%
52 Week Price Chg	79.12%	-28.72%	11.87%	-33.96%	33.92%	21.12%
20 Day Average Volume	4,727,005	903,965	3,196,808	1,358,005	3,208,563	1,297,180
(F1) EPS Est 1 week change	0.00%	0.00%	0.00%	0.00%	0.00%	NA
(F1) EPS Est 4 week change	0.00%	0.00%	0.00%	0.00%	-0.66%	NA
(F1) EPS Est 12 week change	9.95%	0.01%	0.47%	-2.30%	11.46%	NA
(Q1) EPS Est Mthly Chg	0.00%	0.00%	0.00%	0.00%	0.00%	NA

Zacks Stock Rating System

We offer two rating systems that take into account investors' holding horizons: Zacks Rank and Zacks Recommendation. Each provides valuable insights into the future profitability of the stock and can be used separately or in combination with each other depending on your investment style.

Zacks Recommendation

The Zacks Recommendation aims to predict performance over the next 6 to 12 months. The foundation for the quantitatively determined Zacks Recommendation is trends in the company's estimate revisions and earnings outlook. The Zacks Recommendation is broken down into 3 Levels; Outperform, Neutral and Underperform. Unlike many Wall Street firms, we have an excellent balance between the number of Outperform and Neutral recommendations. Our team of 70 analysts are fully versed in the benefits of earnings estimate revisions and how that is harnessed through the Zacks quantitative rating system. But we have given our analysts the ability to override the Zacks Recommendation for the 1200 stocks that they follow. The reason for the analyst over-rides is that there are often factors such as valuation, industry conditions and management effectiveness that a trained investment professional can spot better than a quantitative model.

Zacks Rank

The Zacks Rank is our short-term rating system that is most effective over the one- to three-month holding horizon. The underlying driver for the quantitatively-determined Zacks Rank is the same as the Zacks Recommendation, and reflects trends in earnings estimate revisions.

Zacks Style Scores

The Zacks Style Score is as a complementary indicator to the Zacks rating system, giving investors a way to focus on the highest rated stocks that best fit their own stock picking preferences.

Academic research has proven that stocks with the best Value, Growth and Momentum characteristics outperform the market. The Zacks Style Scores rate stocks on each of these individual styles and assigns a rating of A, B, C, D and F. We also produce the VGM Score (V for Value, G for Growth and M for Momentum), which combines the weighted average of the individual Style Scores into one score. This is perfectly suited for those who want their stocks to have the best scores across the board.

Value Score	F
Growth Score	A
Momentum Score	C
VGM Score	C

As an investor, you want to buy stocks with the highest probability of success. That means buying stocks with a Zacks Recommendation of Outperform, which also has a Style Score of an A or a B.

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